

Asian Autos

Chinese Autos: Still Searching for a Bottom – June domestic sales -21% YoY, EV penetration 59%; Export +80% YoY



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China auto wholesale -5.3% YoY in June, with domestic retail volume -21.4% and export +80.2%. China's domestic auto demand remains subdued, leaving exports to help sustain industry production. We track mandatory first-time auto insurance volumes in China, which we believe gives the most accurate read on retail sell-through. June retail passenger vehicle sales totaled 1.71mn units, -21.4% yoy. The June retail SAAR of 20.7mn units is trending higher than 19.2 mn in May 2026, but still below our estimate of normalized annual demand of c.22mn units. June weakness continued to reflect the pull-forward effect from the 2024-25 subsidy programs (which we estimate shifted over 5mn units of demand), coupled with a high base. Barring further policy stimulus, we see limited catalysts for a meaningful recovery in domestic demand before November–December, when base effects are expected to normalize. (Links to monthly sales volume trackers: [PV Wholesale](#), and [PV Retail](#).)

Letting the market reset. At current levels, we remain relatively cautious on the likelihood of further major policy support from the Chinese government that would meaningfully boost auto demand. While domestic demand remains weak, resilient exports continue to cushion overall industry production, taking off some of the pressure for a quick demand recovery. We may see incremental measures, such as additional funding for trade-in programs or targeted campaigns in lower-tier and rural markets. However, even if further stimulus is introduced, we do not expect it to match the generosity of the trade-in incentives offered over the past two years. Importantly, a significant portion of demand has already been pulled forward, and consumers who purchased vehicles recently are unlikely to return to the market in the near term. The industry just needs time for demand to normalize organically before a more sustainable recovery can emerge.

June EV penetration reached 59.2%, with BEVs accounting for 40.9% and PHEVs 18.3%. EV sales declined -9.9% YoY, with BEVs up +2.1% and PHEVs down -28.7%. **PHEV demand continues to decline sharply for several reasons:** **1)** Recent BEV launches have delivered meaningful improvements in driving range and fast-charging capabilities, significantly reducing range anxiety. **2)** BEVs are now often priced on par with comparable PHEV models, narrowing PHEVs' value proposition. **3)** At the same time, policy support has become less favorable: PHEVs with less than 100km of electric-only range no longer qualify for reduced purchase tax of 5%, but are subject to 10% ICE-equivalent purchase tax rate, effectively excluding a significant portion (estimated to be c.40%) of models that previously benefited. **4)** Looking ahead, from 2027, PHEVs will also lose their exemption from the annual vehicle and vessel tax, while BEVs will remain fully exempt. Although the annual cost impact is modest, it could amount to several hundred RMB per year and several thousand RMB over a vehicle's lifetime, further eroding the relative attractiveness of PHEVs.

BYD remained China's leading EV manufacturer, delivering 225k units and maintaining a stable 22.3% market share. Demand for its latest fast-charging models remains strong, and we expect deliveries to accelerate from Q3 as battery supply constraints ease. Geely Group ranked second with 113k units and 11.2% share, followed by Leapmotor at 70k units (7.0%).

Meanwhile, ICE demand slumped -33.8% YoY. Premium brand sales saw -16.8% (pg. 2)

(... continue from pg. 1) yoy decline in June and mass market brand cars plunged -22.3% yoy, reflecting ongoing weakness driven by a high comparison base and demand pulled forward by last year's subsidies. Among major traditional premium brands, BMW posted the weakest performance with a -30.6% decline, while Audi fell -30% and Mercedes -19.6%. Porsche also reported a -45.8% drop.

Exports grew +80% yoy in June, with ICE +29% and EV +159%. Exports made up 38% of total PV wholesale, partially offsetting the weak domestic demand. BEV & PHEV exports contributed c.56% of total export volume. Chery continued to lead with 188k units (+78% yoy), followed by BYD with 171k (+99%) and Geely with 102k units (+155%).

BERNSTEIN TICKER TABLE

Ticker	Rating	16 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
1211.HK (BYD)	O	HKD	90.95	136.00	(60.0)%	CNY	3.58	4.90	6.90	21.9	16.0	11.4
002594.CH (BYD)	O	CNY	94.14	124.00	(47.0)%	CNY	3.58	4.90	6.90	26.3	19.2	13.6
1810.HK (Xiaomi)	O	HKD	27.50	43.00	(73.3)%	CNY	1.62	1.02	1.77	14.6	23.3	13.4
175.HK (Geely)	O	HKD	19.39	25.00	(28.0)%	CNY	1.67	1.82	2.26	0.4	0.4	0.3
LI (Li Auto)	M	USD	12.73	15.50	(78.0)%	CNY	1.13	(4.88)	2.27	76.2	(17.7)	38.0
2015.HK (Li Auto)	M	HKD	50.40	61.00	(89.7)%	CNY	0.57	(2.44)	1.13	76.9	(17.8)	38.4
XPEV (XPeng)	M	USD	13.78	20.00	(44.4)%	CNY	(1.20)	(2.03)	0.45	(77.9)	(45.9)	206.5
9868.HK (XPeng)	M	HKD	56.55	78.00	(53.8)%	CNY	(0.60)	(1.02)	0.23	(81.6)	(48.0)	216.2
NIO (NIO)	M	USD	5.03	6.00	1.1%	CNY	(6.85)	(1.62)	(0.49)	(5.0)	(21.1)	(69.2)
9866.HK (NIO)	M	HKD	40.44	47.00	(11.5)%	CNY	(6.85)	(1.62)	(0.49)	(5.1)	(21.6)	(71.0)
2333.HK (Great Wall-H)	M	HKD	8.81	13.00	(66.5)%	CNY	1.16	1.21	1.40	0.4	0.4	0.4
2238.HK (GAC)	M	HKD	2.21	3.00	(61.5)%	CNY	(0.85)	(0.13)	(0.01)	(2.3)	(14.7)	(299.8)
600104.CH (SAIC)	M	CNY	10.52	15.00	(75.6)%	CNY	0.89	0.97	1.05	11.9	10.8	10.0
ASIA			1,947.71									
SPX			7,572.40									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

175.HK, 2333.HK valuation is EV/Sales (x); 2238.HK valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We maintain a cautious outlook for the sector. The reduction in subsidies and a 5% purchase tax hike on EVs are expected to slow market momentum. This follows strong demand pulled forward into 2024-2025 and a high comparison base, while macro headwinds and weak consumer sentiment persist. The industry will also face pressure from material cost inflation headwinds. We expect industry wholesale volumes to reach c.29 mn units, falling 3-5% yoy. We forecast domestic retail demand of 20-21mn units, declining 10-12% yoy. Exports should remain a growth driver, arriving at 8.5-9mn units, growing 40-50% yoy.

The long term secular growth outlook for EVs remains intact and even though EV transition has come to the mass adoption phase in China, we forecast domestic EV sales growth will be c.3-5% yoy for 2026 and drive EV penetration to 62%. EV exports is going from strength to strength and projected to grow c.65-75% yoy in 2026, bringing overall EV wholesale shipment to 15-20% yoy. We believe competition within the domestic market will remain intense and overseas markets are increasingly important as a strategic growth opportunity. For our EV names, we rate **BYD and Xiaomi Outperform**, and **XPeng, Li Auto, and NIO Market-Perform**. Within our traditional Chinese OEMs coverage, we rate **Geely Outperform** and **Great Wall, GAC, and SAIC Market-Perform**.

Recent research highlights:

13 Jul 2026 - [EV TRACKER -May 2026: Europe and RoW lead EV sales recovery](#)

8 Jul 2026 - [China Smartphone Tracker \(May\): Historical high ASP and inventory level](#)

25 Jun 2026 - [Electric Revolution: Resilience – In Check. Global EV Forecast, 2026 edition.](#)

22 Jun 2026 - [Chinese Autos: Why Automakers are entering Humanoid Robotics — and their competitive edge](#)

16 Jun 2026 - [Chinese Autos: Another soft month — Domestic sales -20% YoY, EV penetration holds at 61%; XPEV and LI model updates](#)

VALUATION COMPS TABLE

EXHIBIT 1: Global autos comps sheet

	Market cap \$m	EV \$m	Cars Sold m	CY	P/E NTM+1	NTM+2	EV/EBITDA CY NTM+1 NTM+2			EV/SALES CY NTM+1 NTM+2			Dividend yield CY FY+1 FY+2			FCF Yield FY+2	EBIT% FY+1	ROCE FY+1	Net debt / EBITDA CY FY+1 FY+2		
BYD	117,269	130,843	4.6	20.0x	15.7x	13.3x	7.1x	6.0x	5.3x	1.0x	0.9x	0.8x	1.3%	1.3%	1.3%	5.9%	5.8%	14.7%	0.1x	-0.1x	-0.4x
Xiaomi	89,747	80,651	0.4	20.7x	14.9x	11.3x	15.4x	11.3x	8.7x	1.1x	1.0x	0.8x	0.0%	0.0%	0.0%	7.3%	7.5%	13.7%	-0.2x	-0.8x	-0.8x
Li	13,329	6,798	0.4	n.a.	19.3x	12.0x	31.1x	5.8x	4.0x	0.4x	0.3x	0.3x	0.0%	0.0%	0.0%	7.0%	1.9%	3.4%	-44.4x	-9.1x	-7.0x
XPeng	13,202	12,701	0.4	n.a.	62.6x	24.1x	n.a.	27.0x	14.6x	0.9x	0.7x	0.6x	0.0%	0.0%	0.0%	7.5%	0.3%	0.8%	61.6x	-7.1x	-5.0x
NIO	12,604	13,322	0.3	4,068.9x	31.3x	16.6x	13.5x	8.9x	7.1x	0.7x	0.6x	0.5x	0.0%	0.0%	0.0%	9.2%	1.3%	5.3%	-1.3x	-1.4x	-1.4x
China EVs	246,151	244,315	6.2	24.9x	16.6x	12.8x	9.8x	7.6x	6.3x	0.9x	0.8x	0.7x	0.6%	0.6%	0.6%	6.8%	5.3%	12.1%	-0.5x	-0.8x	-1.0x
Geely	26,226	24,895	3.0	8.4x	6.9x	5.9x	4.8x	4.1x	3.6x	0.4x	0.3x	0.3x	3.6%	3.6%	3.6%	16.1%	5.7%	21.8%	-1.5x	-1.7x	-2.0x
SAIC	17,833	29,114	4.5	10.8x	9.3x	8.0x	6.1x	5.4x	4.9x	0.3x	0.3x	0.3x	2.8%	2.8%	2.8%	6.4%	3.3%	4.2%	-2.9x	-2.8x	-2.3x
Great Wall	17,108	16,500	1.3	10.7x	9.1x	8.0x	5.6x	5.0x	4.6x	0.4x	0.4x	0.4x	4.9%	4.9%	4.9%	7.2%	5.2%	11.0%	-1.5x	-1.3x	-1.7x
GAC	6,411	9,544	1.7	n.a.	n.a.	28.1x	40.3x	16.4x	9.4x	0.6x	0.5x	0.5x	0.3%	0.3%	0.3%	-9.5%	-4.3%	-3.7%	-5.1x	0.7x	-2.7x
China OEMs	67,578	80,053	10.6	11.1x	8.9x	7.5x	6.1x	5.2x	4.6x	0.4x	0.3x	0.3x	3.4%	3.4%	3.4%	8.8%	3.8%	6.3%	-2.1x	-1.9x	-2.1x
Mercedes-Benz	\$ 51,102	21,420	2.2	8.6x	7.0x	6.2x	1.3x	1.2x	1.1x	0.1x	0.1x	0.1x	7.3%	7.3%	7.3%	10.2%	6.0%	3.9%	-2.2x	-2.3x	-2.6x
Volkswagen	\$ 43,338	38,472	9.0	4.2x	3.3x	2.9x	0.7x	0.7x	0.7x	0.1x	0.1x	0.1x	7.6%	7.6%	7.6%	18.1%	5.3%	3.6%	-0.7x	0.7x	0.8x
BMW	\$ 41,504	-9,435	2.5	8.1x	6.4x	5.4x	-0.5x	-0.5x	-0.5x	-0.1x	-0.1x	-0.1x	4.4%	4.4%	4.4%	10.8%	6.0%	3.8%	2.9x	2.7x	2.9x
Stellantis	* 17,095	12,802	5.5	8.9x	4.1x	3.0x	1.1x	0.9x	0.8x	0.1x	0.1x	0.1x	1.6%	1.6%	1.6%	0.3%	3.1%	5.2%	-0.5x	-0.4x	-0.2x
Renault	\$ 9,084	4,823	2.3	4.7x	4.4x	4.1x	0.7x	0.7x	0.7x	0.1x	0.1x	0.1x	8.2%	8.2%	8.2%	17.8%	4.9%	3.0%	-1.3x	-1.4x	-1.5x
Volvo Cars	& 6,669	5,633	0.7	9.0x	6.0x	4.8x	1.6x	1.3x	1.2x	0.2x	0.2x	0.1x	0.0%	0.0%	0.0%	15.0%	4.3%	7.8%	-0.7x	-0.8x	-0.9x
EU OEMs	168,791	73,716	22.1	6.5x	4.9x	4.2x	0.7x	0.6x	0.6x	0.1x	0.1x	0.1x	5.8%	5.8%	5.8%	12%	5.0%	3.9%	-0.3x	0.3x	0.3x
GM	* 70,005	68,739	6.2	6.0x	5.6x	6.1x	3.1x	3.0x	3.0x	0.4x	0.4x	0.4x	0.9%	0.9%	0.9%	15.1%	8.2%	7.1%	-0.2x	-0.4x	-0.5x
Ford	* 56,503	54,350	4.4	8.5x	7.9x	7.4x	4.1x	3.8x	3.5x	0.3x	0.3x	0.2x	4.3%	4.3%	4.3%	5.1%	5.5%	5.7%	-0.3x	-0.3x	-0.4x
US OEMs	126,508	123,089	10.6	6.9x	6.5x	6.6x	3.5x	3.3x	3.2x	0.3x	0.3x	0.3x	2.4%	2.4%	2.4%	11%	6.9%	6.5%	-0.3x	-0.4x	-0.4x
Tesla	* 1,481,483	1,453,316	1.6	215.2x	168.7x	120.7x	95.5x	76.9x	58.6x	13.9x	12.4x	10.4x	0.0%	0.0%	0.0%	-0.3%	7.0%	7.8%	-1.4x	-1.0x	-0.6x
Rivian	* 25,563	27,335	0.0	n.a.	n.a.	n.a.	n.a.	n.a.	165.7x	3.8x	2.3x	1.7x	0.0%	0.0%	0.0%	-13.0%	-27.6%	-33.1%	0.5x	2.4x	-17.2x
Lucid	* 2,322	7,179	0.0	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	3.7x	1.8x	1.1x	0.0%	0.0%	0.0%	-116.2%	-63.3%	-41.0%	-0.4x	-1.3x	-4.6x
Polestar	* 2,165	4,997	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	1.4x	1.0x	0.8x	0.0%	0.0%	0.0%	-42.2%	-14.8%	59.8%	-4.1x	-5.2x	-39.5x
US EVs	1,511,533	1,492,827	1.7	n.a.	601.3x	193.9x	153.5x	96.3x	62.2x	12.7x	10.8x	8.8x	0.0%	0.0%	0.0%	-0.7%	1.3%	1.5%	-1.9x	-1.1x	-0.4x
Toyota	% 262,875	200,178	9.6	11.8x	10.6x	9.9x	5.4x	5.0x	4.6x	0.6x	0.6x	0.6x	3.6%	3.6%	3.6%	4.0%	8.1%	5.1%	5.5x	3.6x	4.5x
Honda	% 43,188	100,248	2.7	17.3x	8.7x	7.3x	11.5x	7.7x	6.8x	0.7x	0.7x	0.7x	4.7%	4.7%	4.7%	2.4%	4.8%	4.3%	6.0x	4.2x	4.2x
Suzuki	% 24,892	25,969	3.6	10.0x	9.6x	8.5x	4.9x	4.6x	4.2x	0.6x	0.6x	0.6x	2.5%	2.5%	2.5%	7.1%	9.2%	12.7%	-0.8x	-0.9x	-1.0x
Subaru	% 11,164	2,789	0.9	11.3x	9.1x	8.4x	1.3x	1.1x	1.1x	0.1x	0.1x	0.1x	4.8%	4.8%	4.8%	11.9%	4.3%	7.0%	-1.5x	-1.7x	-1.7x
Nissan	% 7,377	2,799	2.4	41.8x	8.2x	6.5x	0.8x	0.7x	0.6x	0.0x	0.0x	0.0x	0.0%	0.0%	0.0%	21.3%	2.0%	1.7%	11.7x	9.7x	9.0x
Mazda	% 4,402	1,858	1.1	7.5x	5.9x	5.0x	1.2x	1.0x	1.0x	0.1x	0.1x	0.1x	4.9%	4.9%	4.9%	10.4%	3.0%	5.7%	-1.4x	-1.3x	-1.4x
Mitsubishi	* 3,414	3,437	1.0	18.1x	11.3x	9.6x	3.1x	2.8x	2.8x	0.2x	0.2x	0.2x	2.7%	2.7%	2.7%	1.4%	3.4%	8.2%	-0.6x	-0.7x	-0.9x
Japanese OEMs	357,313	337,277	21.3	12.2x	10.1x	9.1x	5.7x	4.9x	4.5x	0.5x	0.5x	0.5x	3.6%	3.6%	3.6%	4.7%	6.2%	4.9%	4.8x	3.3x	3.8x
Hyundai	* 58,024	169,719	4.1	8.3x	7.5x	7.0x	14.2x	12.8x	11.9x	1.3x	1.2x	1.2x	2.7%	2.7%	2.7%	1.1%	6.6%	4.3%	8.2x	7.4x	6.9x
Kia	* 38,913	25,107	3.1	6.7x	6.2x	5.8x	2.8x	2.5x	2.4x	0.3x	0.3x	0.3x	4.6%	4.6%	4.6%	13.8%	8.6%	16.5%	-1.6x	-1.8x	-2.0x
Korean OEMs	96,938	194,826	7.3	7.6x	6.9x	6.4x	9.3x	8.4x	7.8x	0.9x	0.9x	0.8x	3.4%	3.4%	3.4%	6%	7.4%	6.4%	4.0x	3.5x	3.1x
Ferrari	\$ 66,321	58,918	0.014	33.9x	30.8x	28.7x	17.4x	15.9x	14.8x	6.8x	6.3x	5.9x	1.1%	1.1%	1.1%	2.9%	30.3%	35.4%	0.0x	-0.1x	-0.2x
Porsche AG	\$ 46,420	44,750	0.3	24.0x	19.6x	15.2x	6.0x	5.6x	4.9x	1.1x	1.1x	1.0x	2.2%	2.2%	2.2%	5.3%	8.3%	7.8%	1.3x	1.3x	1.4x
Aston Martin	& 504	2,323	0.005	n.a.	n.a.	n.a.	5.9x	4.8x	4.1x	1.1x	1.1x	1.1x	0.0%	0.0%	0.0%	0.1%	-0.5%	-0.4%	4.8x	4.1x	3.4x
Luxury OEMs	113,245	105,991	0.3	31.3x	26.1x	21.6x	9.4x	8.7x	7.8x	2.1x	2.0x	1.9x	1.6%	1.6%	1.6%	3.9%	11.9%	11.5%	1.0x	1.0x	1.0x
Global OEMs (ex EV)	930,373	914,953	72.2	9.7x	8.1x	7.3x	3.7x	3.3x	3.1x	0.4x	0.4x	0.3x	3.6%	3.6%	3.6%	8%	5.9%	5.0%	1.2x	1.1x	1.2x
Global EVs	1,757,684	1,737,142	7.9	197.2x	101.5x	65.0x	50.2x	36.6x	27.7x	4.6x	4.0x	3.5x	0.1%	0.1%	0.1%	0%	4.0%	6.9%	-0.9x	-0.9x	-0.8x

Pricing date: Jul 16, 2026; \$ covered by Bernstein's Stephen Reitman; & covered by Bernstein's Harry Martin; % covered by Bernstein's Masahiro Akita* not covered by Bernstein; calculated EVs exclude finco debt
Source: Bloomberg, Bernstein analysis

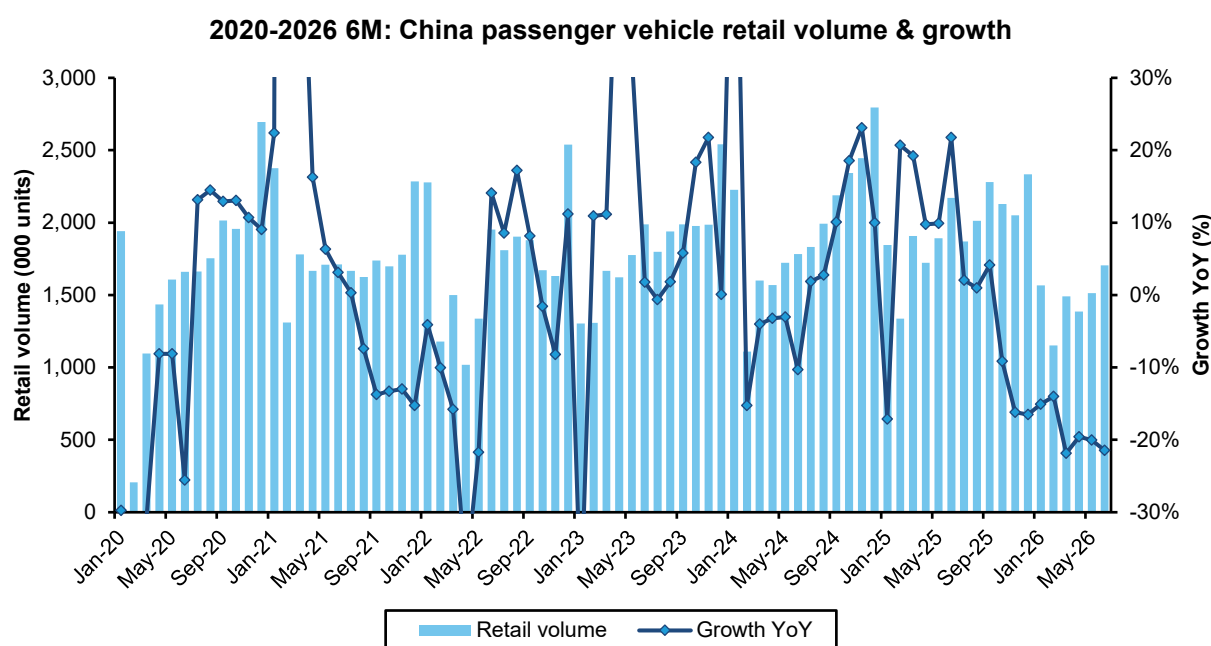
DETAILS

JUNE 2026 CHINESE AUTOS RETAIL SELL-THROUGH 1.71MN UNITS, -21.4% YOY

Chinese autos retail sales, as measured by mandatory first-time insurance volumes, came in at 1.71mn units in June 2026, -21.4% yoy. Retail SAAR for June 2026 registered at 20.7mn units, higher than 19.2 mn in May 2026 while lower than 28.2mn units in June 2025. It is also below our estimate of normalized annual demand of c.22mn units. ([Exhibit 2](#)) **June volumes weak, pressured by the pull-forward effects of last year's subsidy program.** Consumer demand remains subdued, with buyers exhibiting high price sensitivity and waiting for more attractive discounts or policy support.

Across OEMs, mass market makers recorded some of the steepest declines, with BYD -36% and Geely (excluding Zeekr) -24% yoy. Performance of premium EV brands diverged: NIO +88%, supported by a strong product cycle and low comparison base, and Xiaomi grew +37% driven by the deliveries of the new SU7; while Huawei-backed AITO -33% and Tesla -15%. Meanwhile, major traditional premium brands all fell, BMW posted the weakest performance with a -30.6% decline, while Audi fell -30% and Mercedes -19.6%. Porsche also reported a -45.8% drop. Other than Toyota (FAW Toyota -16% & GAC Toyota -13%), JV brands continue to post steep declines, with GAC Honda -49% & Dongfeng Honda -37%, Dongfeng Nissan -43%, VW -34%. Among other traditional Chinese automakers, Chery declined -27%, SGM Wuling -25%, and Changan -18%. ([Exhibit 3](#) - [Exhibit 4](#))

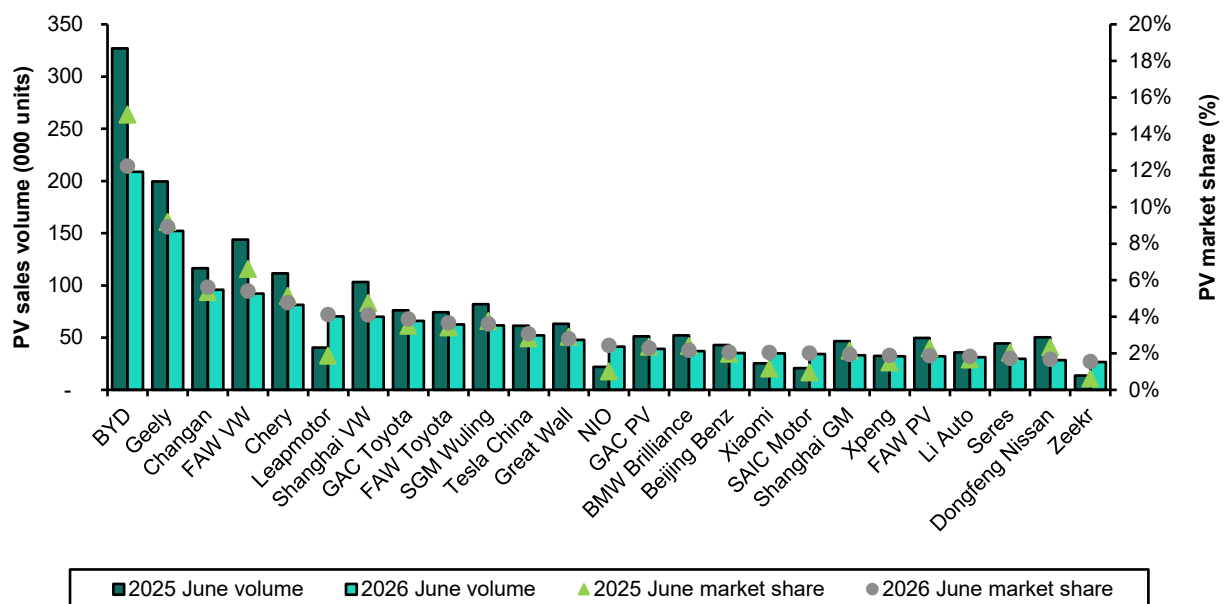
EXHIBIT 2: Chinese autos retail sales came in at 1.71mn units in June 2026, -21.4% yoy



Source: C.A.D. and Bernstein analysis

EXHIBIT 3: BYD Group (incl. BYD, Denza, Fangchengbao, Yangwang, and Linghui) came back to the top with 224k units, 13.2% overall passenger vehicle market share, followed by Geely Group (incl. Galaxy, Geometry, Zeekr, and Lynk&Co) with 179k units, 10.5% share, and Changan with 96k units, 5.6% share

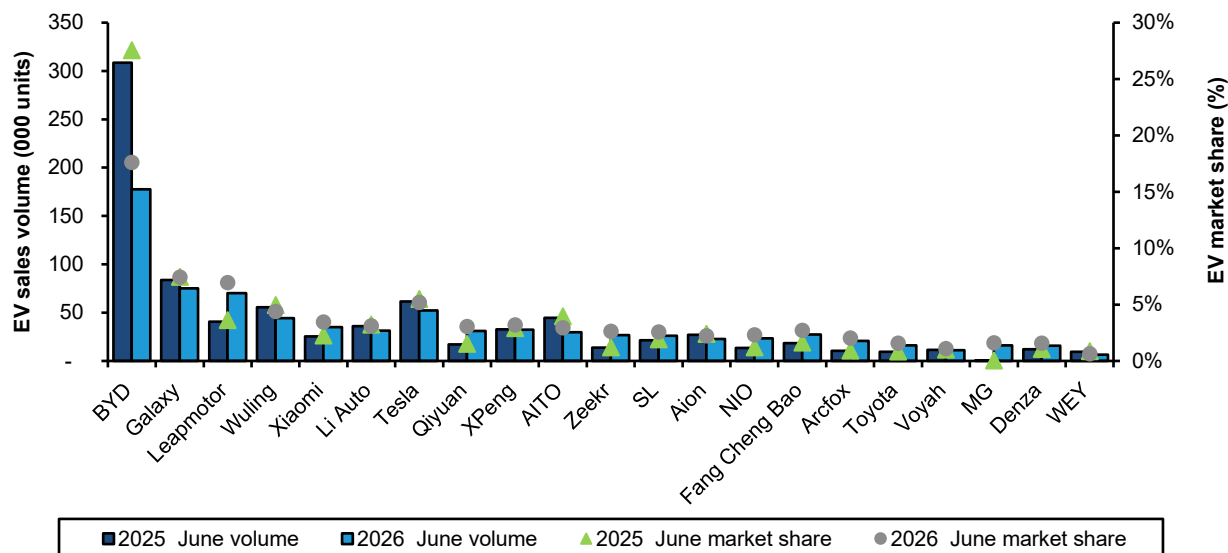
2026 June: China passenger vehicle sales volume by OEM



Source: C.A.D. and Bernstein analysis

EXHIBIT 4: BYD Group remained the largest EV seller in China with volume and share stabilizing to 225k units and 22.3%; Geely Group ranked second with 113k units and 11.2% share, followed by Leapmotor at 70k units (7.0%)

2026 June: China EV sales volume by brand



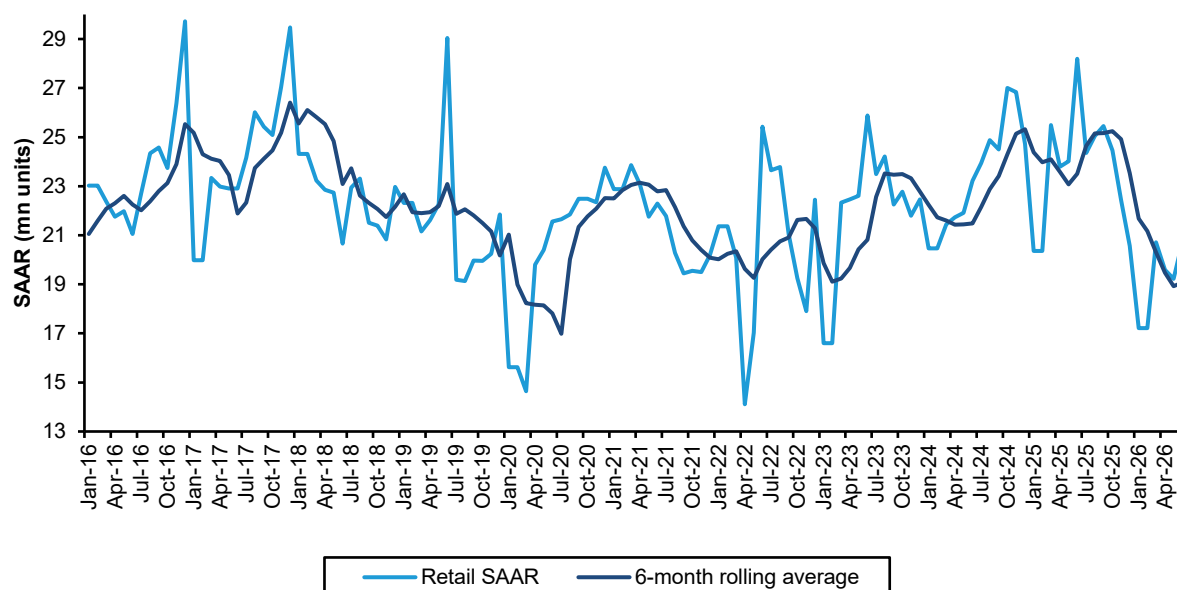
Source: C.A.D. and Bernstein analysis

20.7MN UNITS OF RETAIL SAAR FOR JUNE 2026

We maintain an estimate of retail SAAR in China, based on historical monthly seasonality, adjusted for the timing of Lunar New Year holidays. We calculated that average retail SAAR for June 2026 came in at 20.7mn units ([Exhibit 5](#)), higher than 19.2 mn units in May 2026, and trending below our estimate of c.22mn units for normalized annual Chinese autos demand. Excluding both imports and exports, we estimate that the average of aggregate SAAR of cars produced and sold domestically in China reached 18.7mn units in June, lower than the domestic retail SAAR of 20.3mn units ([Exhibit 6](#)). On a 6-month rolling basis, our estimate for domestic-only wholesale SAAR was 18.4mn units, lower vs. domestic-only retail SAAR of 20.3mn units.

EXHIBIT 5: Retail SAAR for June 2026 came in at 20.7mn units, higher than 19.2 mn units in May 2026, but trending below our estimate of c.22mn units for normalized annual Chinese autos demand

2016-2026 6M: China passenger vehicle retail SAAR

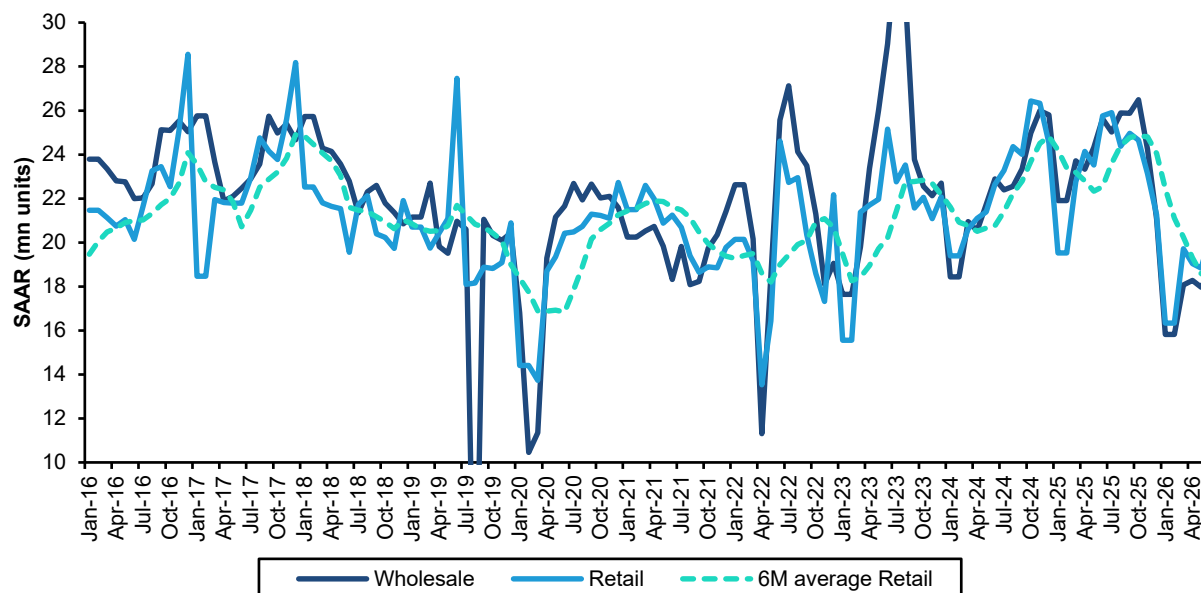


Note: For January and February of each year we've shown aggregate 2M retail SAAR, to minimize the volatility driven by Lunar New Year timing.

Source: C.A.D., Bernstein estimates and analysis

EXHIBIT 6: **Excluding both imports and exports, we estimate that the average of aggregate SAAR of cars produced and sold domestically in China reached 18.7mn units in June, lower than the domestic retail SAAR of 20.3mn units**

2016-2026 6M: China domestic wholesale vs. retail SAAR

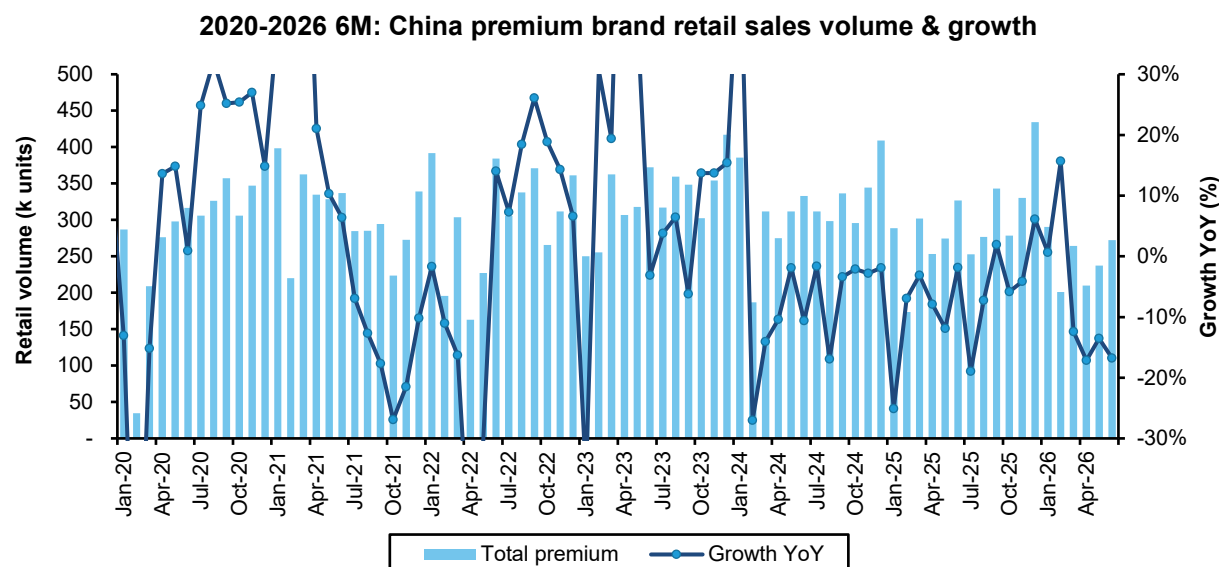


Note: For January and February of each year we've shown aggregate 2M retail SAAR, to minimize the volatility driven by Lunar New Year timing.

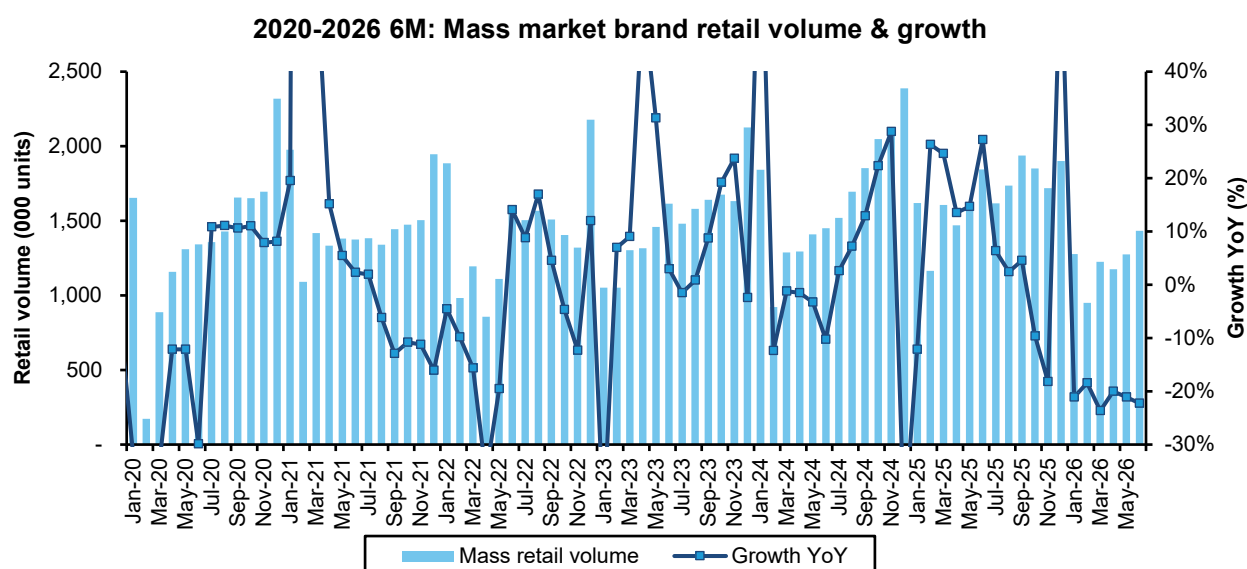
Source: CAAM, C.A.D., and Bernstein estimates and analysis

PREMIUM BRAND SALES -16.8% VS. MASS MARKET -22.3%YOY IN JUNE 2026

Premium brand sales saw a -16.8% yoy decline in June ([Exhibit 7](#)). Overall premium penetration increased to 16.0% in June from 15.7% in May 2026, and higher than 15.1% in June 2025. Retail sales volume of mass market brand cars plunged -22.3% yoy, reflecting ongoing weakness driven by a high comparison base and demand pulled forward by last year's subsidies. The sales of locally-built premium brand cars dropped by -4.8% yoy and import premium retail sales tumbled -30.6% yoy in June 2026 ([Exhibit 8](#)). Among major traditional premium brands, BMW posted the weak performance with a -30.6% decline, while Audi fell -30% and Mercedes -20%. Porsche also reported a -46% drop.

EXHIBIT 7: Retail volumes of premium market brand cars declined by -16.8% yoy for June

Source: C.A.D. and Bernstein analysis

EXHIBIT 8: Retail sales volume of mass market brand cars plunged -22.3% yoy in June

Source: C.A.D. and Bernstein analysis

OVERALL EV SALES PENETRATION REACHED 59.2% IN JUNE 2026

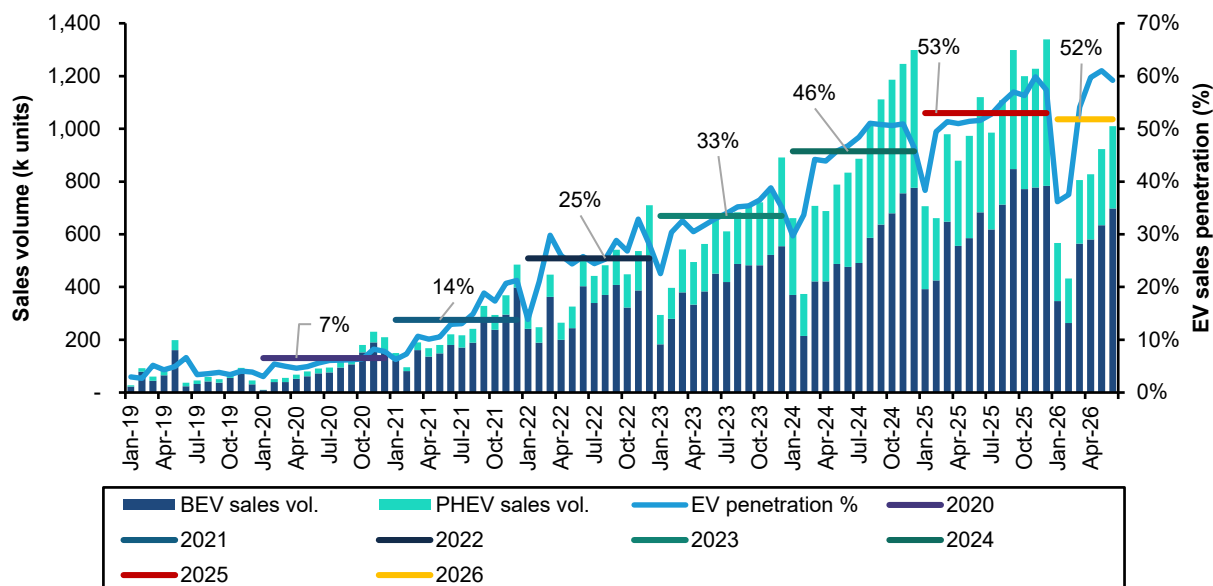
Overall EV sales (BEV & PHEV) fell -9.9% YoY to 1.0mn units in June, but showed improvement from March (-17.7% YoY), as consumers get used to higher purchase tax rate (5%) and welcome the rollout of new models. Rising oil price also help. BEV sales grew +2.1% yoy while PHEV fell -28.7% yoy. Overall EV sales penetration grew to 59.2% in June 2026, with BEV penetration reaching 40.9% and PHEV at 18.3%. As of June 2026, BEV penetration rates in tier 1, 2, and 3 cities came in at 42%, 38%, and 33%, respectively; and PHEV penetration maintained 17% across Tier 1, 2, and 3 cities. ([Exhibit 9](#)— [Exhibit 12](#))

BYD Group remained the largest EV seller in China volume and share stabilizing at 224k units and 22.3%. Geely Group ranked second with 113k units and 11.2% share, followed by Leapmotor at 70k units (7.0%). Other EV pure-plays included Tesla 52k

(5.2%), NIO 23k (2.3%), AITO 30k (2.9%), Xiaomi 35k (3.5%), Li Auto 31k (3.1%), XPeng 32k (3.2%). (Exhibit 4)

EXHIBIT 9: **Overall EV sales (BEV & PHEV) growth fell -9.9% YoY to 1.0mn units in June, dragged by PHEV which fell -28.7%; meanwhile, BEV grew +2.1%**

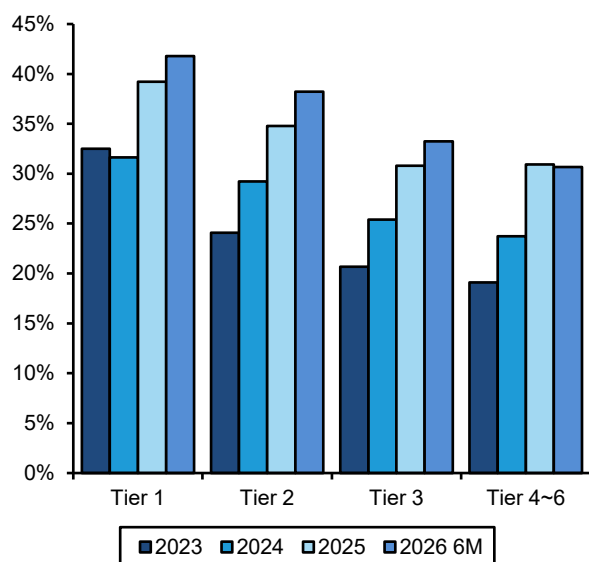
2020-2026 6M: China EV sales volume and penetration



Source: C.A.D. and Bernstein analysis

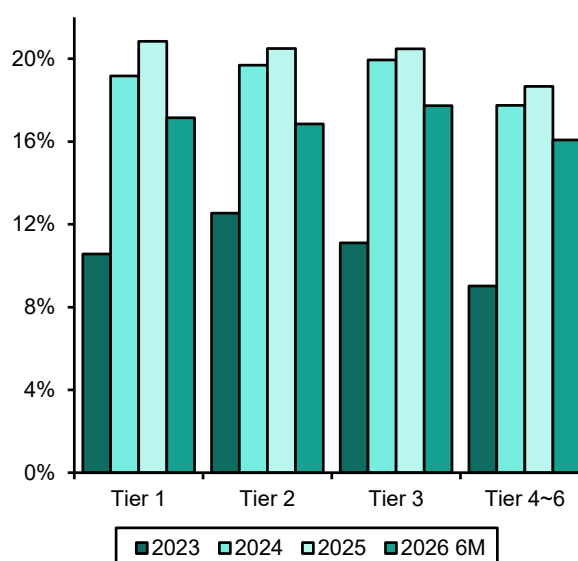
EXHIBIT 10: **By city tier, BEV penetration rates in Tier 1, 2, and 3 cities came at 42%, 38%, and 33% as of June 2026** EXHIBIT 11: **PHEV penetration maintained 17% across Tier 1, 2, and 3 cities**

2023-2026 6M: BEV penetration by city tier

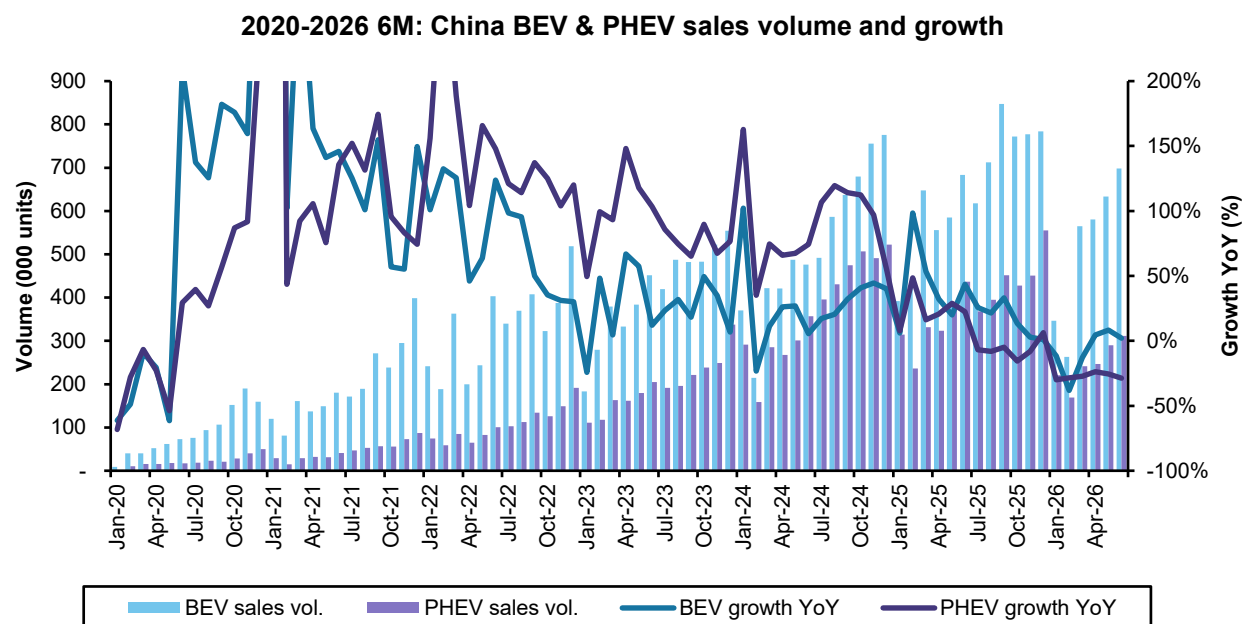


Source: C.A.D. and Bernstein analysis

2023-2026 6M: PHEV penetration by city tier



Source: C.A.D. and Bernstein analysis

EXHIBIT 12: In June 2026, BEV sales grew +2.1% yoy and PHEV decelerated to -28.7% yoy

Source: C.A.D. and Bernstein analysis

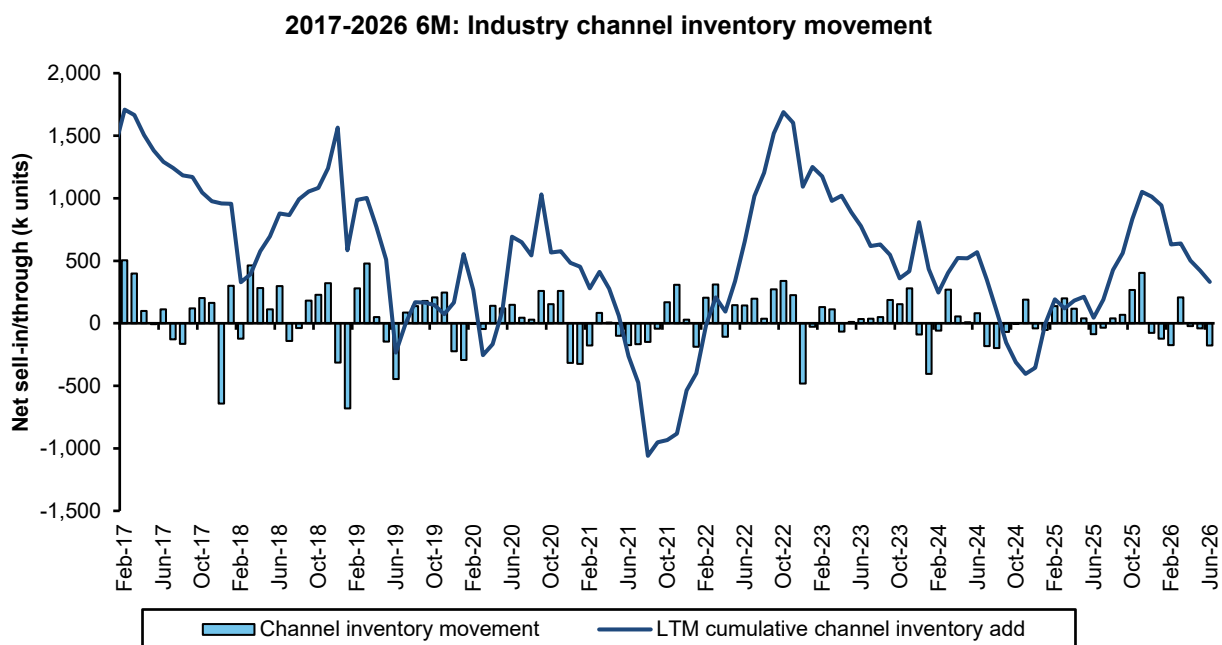
INVENTORY LEVELS IN CHECK

June retail volume stood at 1.68mn units, vs. 1.50mn units of domestic wholesale volumes reported by CAAM, which implies 178k units of net channel inventory de-stocking in May (vs. 40k de-stocking in May). On the other hand, EVs saw a restocking of 123k units during the same period. ([Exhibit 13](#) - [Exhibit 14](#))

Like-for-like retail pricing declined 1,173 bps yoy in June 2026, compared with a 1,114 bps decline in May 2026, likely due to increasing competition pressure and de-stocking activities. We anticipate a moderation in pricing pressure in the longer term, supported by the government's anti-involution position and newly introduced rules that prohibit OEMs from pricing vehicles below cost ([LINK](#)). ([Exhibit 15](#) - [Exhibit 17](#))

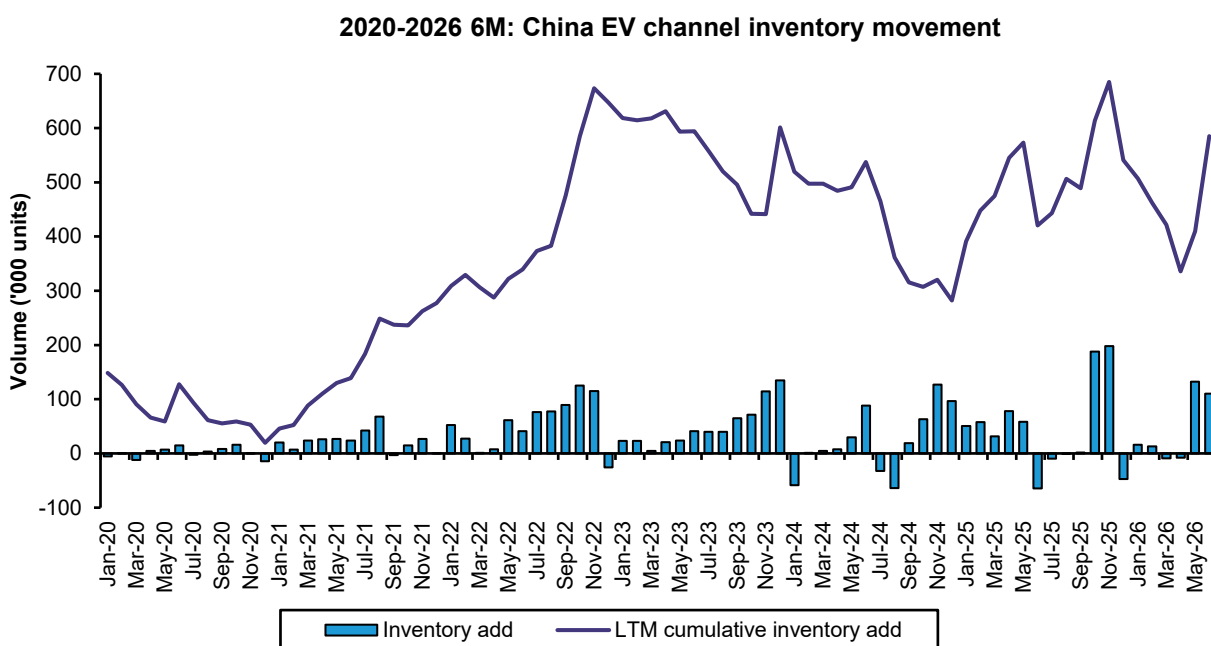
Dongfeng PSA, SGM Wuling, and Dongfeng Nissan have seen the most restocking on a cumulative LTM basis. Among EV pure players, Denza, Ora, and BYD's channel inventory levels are relatively high and above the 1.5 months benchmark, except for BYD. (Exhibit 18 — [Exhibit 19](#))

EXHIBIT 13: **There were 178k units of net channel inventory destocking in June, compared to 40k net destocking in May**



Source: CAAM, C.A.D. and Bernstein analysis

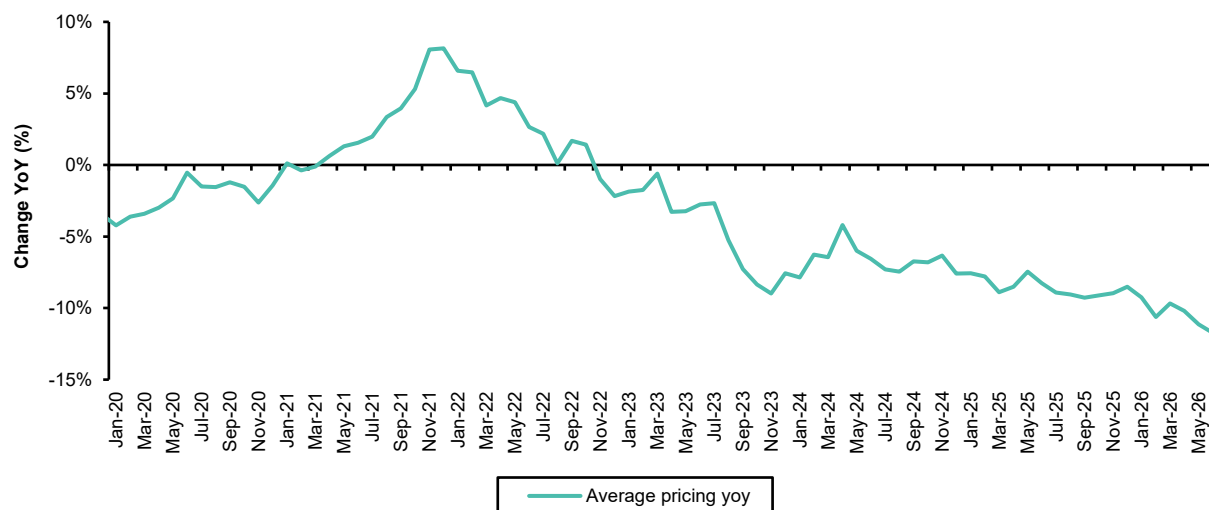
EXHIBIT 14: **EV net channel inventory increased by 123k units in June and 132k units in May**



Source: CAAM, C.A.D., and Bernstein analysis

EXHIBIT 15: Retail pricing sees moderate pressure due to the weak end-market demand; like-for-like pricing was -1,173 basis points in June, vs. -1,114 basis points yoy in May 2026

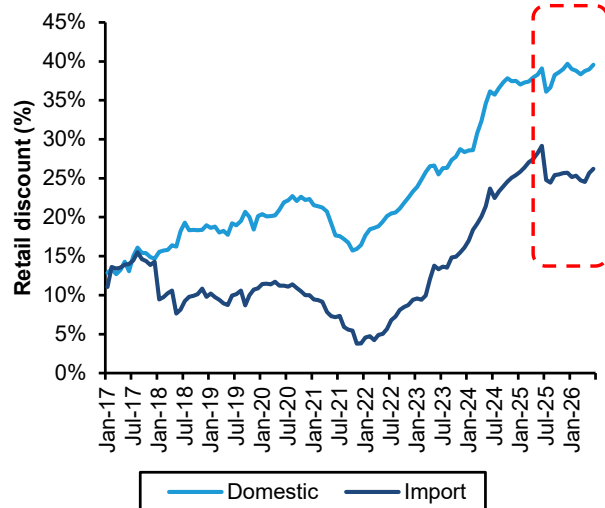
2020-2026 6M: China estimated like-for-like retail pricing change YoY



Source: C.A.D. and Bernstein analysis

EXHIBIT 16: Both imported and domestic premium brand discounts increased moderately in May

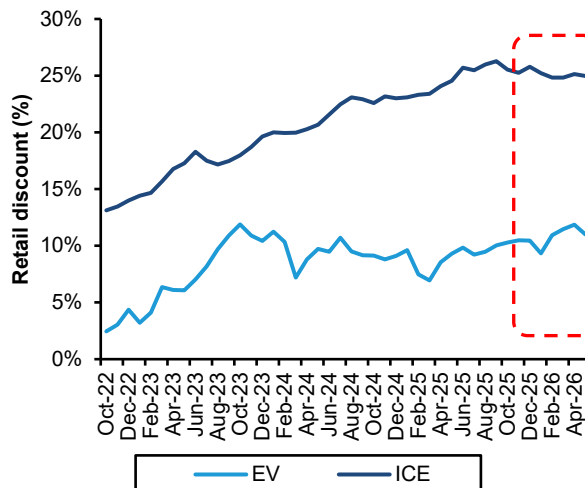
2017 - 2026 6M: Premium brand discounts by segment



Source: C.A.D. and Bernstein analysis

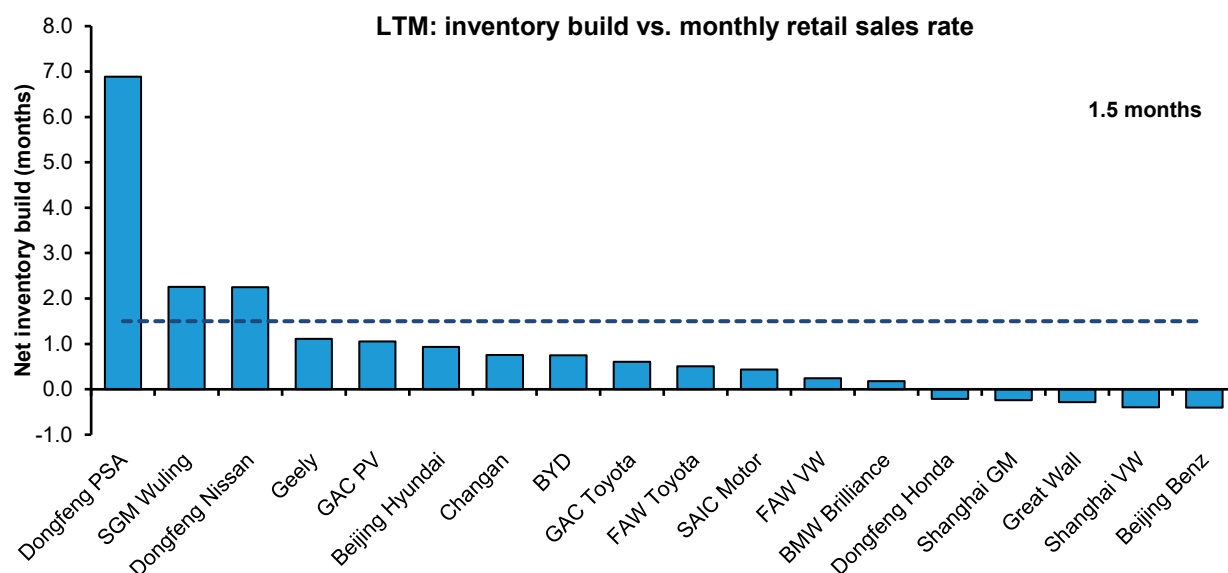
EXHIBIT 17: Mass market discounts declined moderately in April 2026

2022 - 2026 6M: Mass market discounts by powertrain



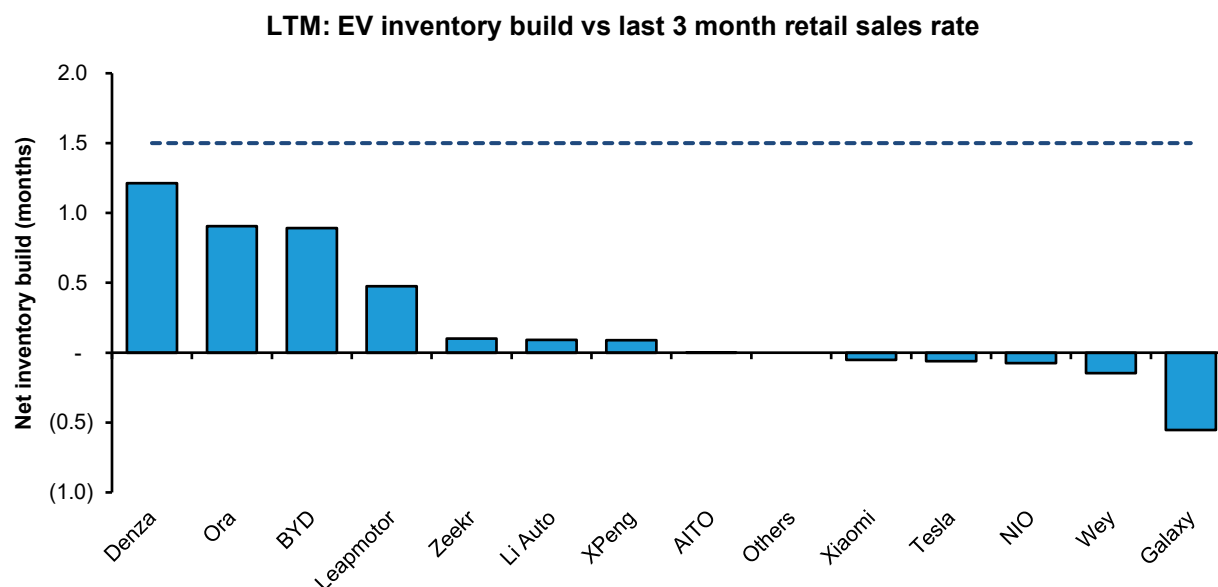
Source: C.A.D. and Bernstein analysis

EXHIBIT 18: Dongfeng PSA, SGM Wuling, and Dongfeng Nissan have seen the most restocking on a cumulative LTM basis



Source: CAAM, C.A.D., and Bernstein analysis

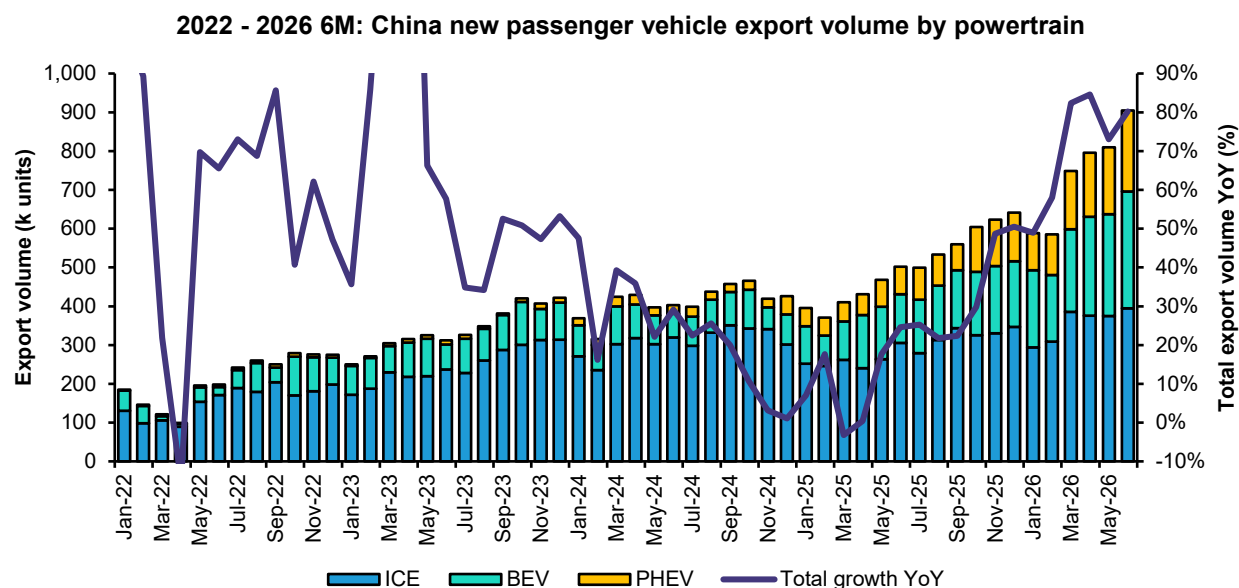
EXHIBIT 19: EV pure players' channel inventory levels are largely in check



Source: CAAM, C.A.D., and Bernstein analysis

CHINA EXPORT MOMENTUM REMAINED STRONG, +80.2% YOY IN JUNE

China's passenger vehicle exports grew +80.2% yoy in June, with ICE exports +29% and EV exports +159%. Exports made up 38% of total PV wholesale, partially offsetting the weak domestic demand. BEV & PHEV exports contributed c.56% of total export volume. Chery led with 188k units (+78% yoy), followed by BYD with 171k (+99%). Geely maintained the third place with 102k units (+155%), while SAIC ranked fourth with 78k units (+82%). Great Wall exported 53k units, +53% yoy. ([Exhibit 20](#))

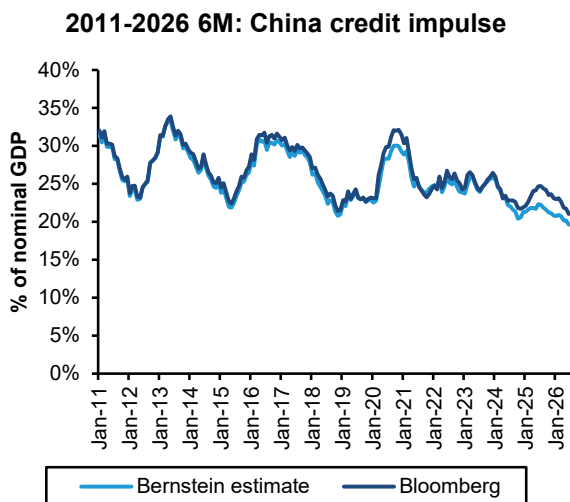
EXHIBIT 20: **Export volume in June 2026 grew +80.2% yoy – ICE +29%, EV +159%**

Source: CAAM and Bernstein analysis

CREDIT IMPULSE REMAINS WEAK

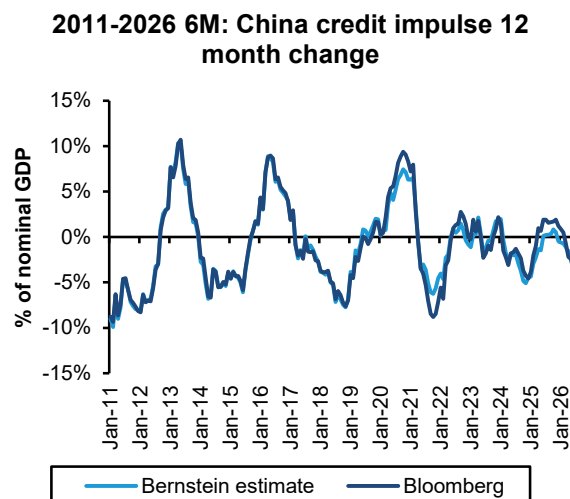
Our estimate for China's credit impulse came to 19.6% in June 2026, declining from 22.3% a year ago. 12 month change in Bloomberg's credit impulse deteriorated further to -3.7% this month, marking a continued downturn after its first negative print in March, which ended an 11-month period of positive momentum. ([Exhibit 21](#) and [Exhibit 22](#)). We encourage monitoring credit levels closely. Historically, we have measured a meaningful positive correlation (c. 0.6) between China's auto demand and credit availability.

EXHIBIT 21: **We estimate China's credit impulse was 19.6% in June 2026...**



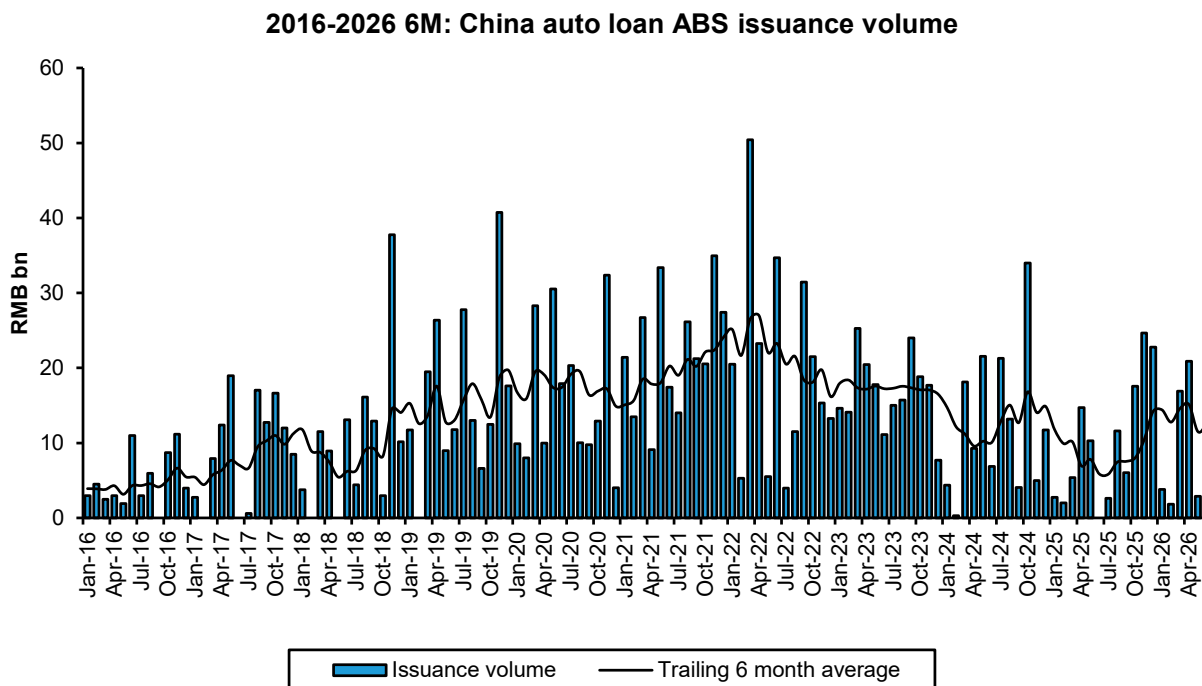
Source: PBOC, Bloomberg L.P., and Bernstein analysis

EXHIBIT 22: **... declining from 22.3% a year ago. 12 month change in Bloomberg's credit impulse deteriorated further to -3.7% this month, marking a continued downturn after its first negative print in March, which ended an 11-month period of positive momentum**



Source: PBOC, Bloomberg L.P., and Bernstein analysis

EXHIBIT 23: **Auto loan issuance volume rebounded in April 2026**



Source: Wind and Bernstein analysis

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